

### **The present situation**

93. As the Introduction to this report explains, the two companies changed their attitude to the proposed merger during the course of our inquiry. Boots told us that it thought it inadvisable and untimely to proceed with the merger in the current economic climate, and that it would be unfair to Boots' shareholders to do so on the terms announced in November 1973. Boots considered that the original proposals were right at the time they were made, but that in the changed circumstances it would no longer be in the company's interest to proceed with them. If Boots was compelled to proceed, it would do its best to make a success of the merged enterprise and did not foresee that it would be a "total disaster". However, the economic difficulties of the United Kingdom would place greater demands on the management of Boots which would be unable to devote as much attention as had been hoped to the organisation of Fraser. In view of this, and of the lack of harmony between managements which was now apparent, it would be more difficult, and take longer, to realise the benefits of the merger. A merger in present circumstances would therefore be less in the public interest though not against the public interest.

94. Fraser did not agree that the change in economic circumstances since November 1973 had undermined the commercial logic of the merger. Fraser admitted, however, that the decision of Boots to seek to withdraw had probably impaired relations between the two managements to such an extent that the success of the merger, if it took place, could be seriously prejudiced. The future of Fraser was not dependent on the merger with Boots; the necessary changes could be achieved, though less quickly, without Boots' assistance. Sir Hugh Fraser's own position had been relieved by the appointment of a Managing Director to take charge of the industrial operations of SUITS, thus enabling Sir Hugh to devote more time to his department store interests.

## **CHAPTER 4**

### **The Views of Third Parties**

95. At the beginning of the inquiry we asked a number of possibly interested parties whether they wished to make any representations to us about the proposed merger. As a result we received evidence from a number of department store groups and voluntary groups, and from trade associations and other interested organisations, including local consumer groups. The Trades Union Congress and the Confederation of British Industry were also invited to offer comments but made none.

#### **Department stores**

96. The majority of the department store groups and voluntary groups which replied to our enquiry either did not wish to make any representations about the merger, or said that they had no grounds for objecting to it and that, in their opinion, it would not operate against the public interest.

Three department store groups did express opposition and we heard oral evidence from two of these. Their reasons for objecting to the merger were:

- (a) It would harm consumers by limiting choice and competition in particular shopping areas. One management ought not to control more than one of the necessarily limited number of department stores in any one area, unless the shopping facilities for that area were exceptionally extensive. In Scotland Fraser already had a monopoly of department store sites in several places, and it was suggested that Glasgow, for example, with numerous Fraser stores, was a less satisfactory shopping centre in some respects than other cities in which a range of competing national businesses was represented. Competition in this sense comprised not merely prices or variety of merchandise, but the whole gamut of retailing enterprise—the range of merchandise, the trading policies, the employment opportunity, attitudes to the future, and the opportunity for individual development in every kind of way.
- (b) Fraser's stores would increasingly acquire the characteristics of multiple stores instead of improving themselves as department stores\*. This would be regrettable as variety in the High Street was important.
- (c) The merger would result in a business unnecessarily large for the standard of service which it provided in its individual shops, and so much larger than necessary that it might attract precisely those difficulties in labour relations and in providing work satisfaction which the country should be seeking to minimise.
- (d) The merger would have an unsettling effect upon the rest of the retail trade and might "trigger off" a series of take-overs.
- (e) There was an increasing and undesirable tendency towards greater concentration of buying power into fewer and fewer hands. If Fraser adopted centralised buying in association with Boots, there would be a considerable adverse effect on suppliers. The merger would reinforce the dominant position of Boots in the middle price range cosmetic market and enable it to move towards a commanding position in the higher price brands.
- (f) Both companies had made large acquisitions in recent years. As a result, two large stores in Glasgow and one in London had been empty for several years, while another London store now belonged to a property development company. The proposed merger could only make sense as a property deal and should be objected to as such.
- (g) Boots had proved itself very competent in operating chemists' shops, but it should not dissipate its energies by expanding into an entirely different kind of retail operation and becoming involved in completely new markets like textiles.

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\* The term "multiple store" is generally understood to mean one of a chain of retail shops under common management and in the same trade. A department store is a large retail shop having a number of departments, each of which specialises in a different class of goods.

Attention was also drawn to the disturbing effect of mergers and take-overs on the morale of employees of the companies involved.

### **Trade associations**

97. Four trade associations responded to our invitation to offer comments. The Scottish Retail Federation saw no grounds for objecting to the merger and did not believe that it would have any significant effect on competition within the retail trade or on the range of choice, quality or service to the public. Adverse comments were made by the following:

The National Chamber of Trade.

The Scottish Wholesale Druggists Association.

The Scottish Pharmaceutical Federation.

98. The National Chamber of Trade said that they were "always nervous of situations which may result in (1) the merging of companies to produce organisations of such size that it may be possible for them to so manipulate the market as to affect supplies to others in the same kind of business, and (2) lack of choice for the consumer, due to large scale central buying policies".

99. The Scottish Wholesale Druggists Association said that "the merger may well operate against the public interest as, we understand, half the toiletries sold through chemists' outlets are already sold by Boots. An increase in this percentage by selling through the House of Fraser, particularly if pharmacies were ever contemplated within those shops, in our view, would tend towards a monopoly position with these articles and could well affect the viability of the dispensary side of the independent retail pharmacist".

100. The Scottish Pharmaceutical Federation pointed out that they were against the establishment of dispensing outlets within premises which also dealt with other than known chemists' lines. It was "reasonable to suppose that Boots may be considering establishing dispensing outlets in towns where the House of Fraser has stores" and "this would not be beneficial as it would reduce the status of retail pharmacy in the mind of the public". The Federation "considered that the service to the public would be adversely affected by the increase in the number of outlets serviced by the Boots Company. When companies such as Boots obtain a monopoly position, unless the management is well controlled service deteriorates and, as pharmacy is in many ways a personal service, the public would suffer". The Federation also suggested that, as the position of pharmacy within the enlarged European Economic Community was still in a state of flux, the proposed merger ought to be looked at in that context as well.

101. We also approached the Company Chemists' Association which circulated our enquiry to its members (other than Boots). Those members of the Association who replied supported the proposed merger on the following grounds:

- (a) It would stimulate competition. Boots had dictated the pace in the field of retail pharmacy, and it was the ambition of Boots' competitors to match its performance in both price and service.

- (b) The professionalism of Boots and its ability to couple keen pricing policies with quality merchandise and first class service would benefit Fraser's retail outlets.
- (c) Boots' assistants were much better trained than Fraser's. Other retail pharmacy outlets went out of their way to obtain Boots' trained staff.

#### **Other organisations**

102. Comments were also received from the Scottish Council (Development and Industry) which made the following points:

- (a) A move towards central buying for Fraser stores might prejudice some smaller suppliers in Scotland who might find it difficult to compete in terms of quantity and price with larger suppliers located in the South.
- (b) In general, however, Scotland might gain from the merger because Fraser was now to a significant extent directed from London though the parent board was still Scottish, and because the merger would leave Sir Hugh Fraser free to apply himself to the direction of SUITS which was primarily concerned with industrial operations in Scotland.

103. We wrote to a number of consumer groups in towns containing Fraser stores. Most of the groups expressed dissatisfaction with the proposed merger, on the grounds that it would reduce competition and lead to standardisation of the goods on offer to the consumer.

#### **Property agents**

104. We asked two of the larger agencies involved in the market for retail property for their views on the effect of the merger on competition for sites. They said that most department store groups had grown largely by acquisition so that their demand for sites had been limited, but that it was likely to increase in the future because there were now fewer opportunities for growth by acquisition. In large development schemes the developer would usually want a department store to take a site as a magnet to attract other retailers, and would therefore be willing to offer a department store more favourable terms than other retailers. However, department stores, with their lower margins and higher capital costs, were often still unable to accept the terms offered on schemes outside the largest population centres. It was thought that a merger of Boots and Fraser would have no noticeable effect on the property market. Fraser would still be uninterested after the proposed merger in most schemes for shopping centres; in large schemes where both Fraser and Boots might be interested they would not be interested in the same sites, and their combination through a merger would not affect the terms offered either to them or to other retailers.